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Suspicious Activity Report

July 2003

Previous editions will not be accepted after December 31, 2003

ALWAYS COMPLETE ENTIRE REPORT (see instructions)

FRB:	FR 2230	OMB No. 7100-0212
FDIC:	6710/06	OMB No. 3064-0077
OCC:	8010-9,8010-1	OMB No. 1557-0180
OTS:	1601	OMB No. 1550-0003
NCUA:	2362	OMB No. 3133-0094
TREASURY:	TD F 90-22.47	OMB No. 1506-0001

1 Check box below only if correcting a prior report.
☐ Corrects Prior Report (see instruction #3 under "How to Make a Report")

Part I Reporting Financial Institution Information

2 Name of Financial Institution

3 EIN

4 Address of Financial Institution

5 Primary Federal Regulator
a ☐ Federal Reserve d ☐ OCC
b ☐ FDIC e ☐ OTS
c ☐ NCUA

6 City

7 State

8 Zip Code —

9 Address of Branch Office(s) where activity occurred ☐ Multiple Branches (include information in narrative, Part V)

10 City

11 State

12 Zip Code —

13 If institution closed, date closed
____ / ____ / _____
MM DD YYYY

14 Account number(s) affected, if any
a _____ Closed? ☐ Yes ☐ No
b _____ Closed? ☐ Yes ☐ No
c _____ Closed? ☐ Yes ☐ No
d _____ Closed? ☐ Yes ☐ No

Part II Suspect Information

☐ Suspect Information Unavailable

15 Last Name or Name of Entity

16 First Name

17 Middle

18 Address

19 SSN, EIN or TIN

20 City

21 State

22 Zip Code —

23 Country

24 Phone Number - Residence (include area code)
( )

25 Phone Number - Work (include area code)
( )

26 Occupation/Type of Business

27 Date of Birth
_____ / _____ / _____
MM DD YYYY

28 Admission/Confession?
a ☐ Yes b ☐ No

29 Forms of Identification for Suspect:
a ☐ Driver's License/State ID b ☐ Passport c ☐ Alien Registration d ☐ Other _____
Number _____ Issuing Authority _____

30 Relationship to Financial Institution:
a ☐ Accountant d ☐ Attorney g ☐ Customer j ☐ Officer
b ☐ Agent e ☐ Borrower h ☐ Director k ☐ Shareholder
c ☐ Appraiser f ☐ Broker i ☐ Employee l ☐ Other _____

31 Is the relationship an insider relationship? a ☐ Yes b ☐ No
If Yes specify: c ☐ Still employed at financial institution e ☐ Terminated
d ☐ Suspended f ☐ Resigned

32 Date of Suspension, Termination, Resignation
_____ / _____ / _____
MM DD YYYY

Part III Suspicious Activity Information

33 Date or date range of suspicious activity
From ____ / _____ / _____ To ____ / _____ / _____
MM DD YYYY MM DD YYYY

34 Total dollar amount involved in known or suspicious activity
$, , , .00

35 Summary characterization of suspicious activity:

- a ☐ Bank Secrecy Act/Structuring/ Money Laundering
- b ☐ Bribery/Gratuity
- c ☐ Check Fraud
- d ☐ Check Kiting
- e ☐ Commercial Loan Fraud
- f ☐ Computer Intrusion
- g ☐ Consumer Loan Fraud
- h ☐ Counterfeit Check
- i ☐ Counterfeit Credit/Debit Card
- j ☐ Counterfeit Instrument (other)
- k ☐ Credit Card Fraud
- l ☐ Debit Card Fraud
- m ☐ Defalcation/Embezzlement
- n ☐ False Statement
- o ☐ Misuse of Position or Self Dealing
- p ☐ Mortgage Loan Fraud
- q ☐ Mysterious Disappearance
- r ☐ Wire Transfer Fraud
- t ☐ Terrorist Financing
- u ☐ Identity Theft
- s ☐ Other _____ (type of activity)

36 Amount of loss prior to recovery (if applicable)
$, , , .00

37 Dollar amount of recovery (if applicable)
$, , , .00

38 Has the suspicious activity had a material impact on, or otherwise affected, the financial soundness of the institution?
a ☐ Yes b ☐ No

39 Has the institution's bonding company been notified?
a ☐ Yes b ☐ No

40 Has any law enforcement agency already been advised by telephone, written communication, or otherwise?

- a ☐ DEA
- b ☐ FBI
- c ☐ IRS
- d ☐ Postal Inspection
- e ☐ Secret Service
- f ☐ U.S. Customs
- g ☐ Other Federal
- h ☐ State
- i ☐ Local
- j ☐ Agency Name (for g, h or i) _____

41 Name of person(s) contacted at Law Enforcement Agency

42 Phone Number (include area code)
( )

43 Name of person(s) contacted at Law Enforcement Agency

44 Phone Number (include area code)
( )

Part IV Contact for Assistance

45 Last Name

46 First Name

47 Middle

48 Title/Occupation

49 Phone Number (include area code)
( )

50 Date Prepared
_____ / _____ / _____
MM DD YYYY

51 Agency (if not filed by financial institution)

Part V Suspicious Activity Information Explanation/Description

Explanation/description of known or suspected violation of law or suspicious activity.

This section of the report is **critical**. The care with which it is written may make the difference in whether or not the described conduct and its possible criminal nature are clearly understood. Provide below a chronological and **complete** account of the possible violation of law, including what is unusual, irregular or suspicious about the transaction, using the following checklist as you prepare your account. **If necessary, continue the narrative on a duplicate of this page.**

a **Describe** supporting documentation and retain for 5 years.
b **Explain** who benefited, financially or otherwise, from the transaction, how much, and how.
c **Retain** any confession, admission, or explanation of the transaction provided by the suspect and indicate to whom and when it was given.
d **Retain** any confession, admission, or explanation of the transaction provided by any other person and indicate to whom and when it was given.
e **Retain** any evidence of cover-up or evidence of an attempt to deceive federal or state examiners or others.
f **Indicate** where the possible violation took place (e.g., main office, branch, other).
g **Indicate** whether the possible violation is an isolated incident or relates to other transactions.
h **Indicate** whether there is any related litigation; if so, specify.
i **Recommend** any further investigation that might assist law enforcement authorities.
j **Indicate** whether any information has been excluded from this report; if so, why?
k If you are correcting a previously filed report, describe the changes that are being made.

For Bank Secrecy Act/Structuring/Money Laundering reports, include the following additional information:

l **Indicate** whether currency and/or monetary instruments were involved. If so, provide the amount and/or description of the instrument (for example, bank draft, letter of credit, domestic or international money order, stocks, bonds, traveler's checks, wire transfers sent or received, cash, etc.).
m **Indicate** any account number that may be involved or affected.

Tips on SAR Form preparation and filing are available in the SAR Activity Review at www.fincen.gov/pub_reports.html

Paperwork Reduction Act Notice: The purpose of this form is to provide an effective and consistent means for financial institutions to notify appropriate law enforcement agencies of known or suspected criminal conduct or suspicious activities that take place at or were perpetrated against financial institutions. This report is required by law, pursuant to authority contained in the following statutes. Board of Governors of the Federal Reserve System: 12 U.S.C. 324, 334, 611a, 1844(b) and (c), 3105(c) (2) and 3106(a). Federal Deposit Insurance Corporation: 12 U.S.C. 93a, 1818, 1881-84, 3401-22. Office of the Comptroller of the Currency: 12 U.S.C. 93a, 1818, 1881-84, 3401-22. Office of Thrift Supervision: 12 U.S.C. 1463 and 1464. National Credit Union Administration: 12 U.S.C. 1766(a), 1786(q). Financial Crimes Enforcement Network: 31 U.S.C. 5318(g). Information collected on this report is confidential (5 U.S.C. 552(b)(7) and 552a(k)(2), and 31 U.S.C. 5318(g)). The Federal financial institutions' regulatory agencies and the U.S. Departments of Justice and Treasury may use and share the information. Public reporting and recordkeeping burden for this information collection is estimated to average 30 minutes per response, and includes time to gather and maintain data in the required report, review the instructions, and complete the information collection. Send comments regarding this burden estimate, including suggestions for reducing the burden, to the Office of Management and Budget, Paperwork Reduction Project, Washington, DC 20503 and, depending on your primary Federal regulatory agency, to Secretary, Board of Governors of the Federal Reserve System, Washington, DC 20551; or Assistant Executive Secretary, Federal Deposit Insurance Corporation, Washington, DC 20429; or Legislative and Regulatory Analysis Division, Office of the Comptroller of the Currency, Washington, DC 20219; or Office of Thrift Supervision, Enforcement Office, Washington, DC 20552; or National Credit Union Administration, 1775 Duke Street, Alexandria, VA 22314; or Office of the Director, Financial Crimes Enforcement Network, Department of the Treasury, 2070 Chain Bridge Road, Vienna, VA 22182. The agencies may not conduct or sponsor, and an organization (or a person) is not required to respond to, a collection of information unless it displays a currently valid OMB control number.

Suspicious Activity Report
Instructions

Safe Harbor Federal law (31 U.S.C. 5318(g)(3)) provides complete protection from civil liability for all reports of suspicious transactions made to appropriate authorities, including supporting documentation, regardless of whether such reports are filed pursuant to this report's instructions or are filed on a voluntary basis. Specifically, the law provides that a financial institution, and its directors, officers, employees and agents, that make a disclosure of any possible violation of law or regulation, including in connection with the preparation of suspicious activity reports, "shall not be liable to any person under any law or regulation of the United States, any constitution, law, or regulation of any State or political subdivision of any State, or under any contract or other legally enforceable agreement (including any arbitration agreement), for such disclosure or for any failure to provide notice of such disclosure to the person who is the subject of such disclosure or any other person identified in the disclosure".

Notification Prohibited Federal law (31 U.S.C. 5318(g)(2)) requires that a financial institution, and its directors, officers, employees and agents who, voluntarily or by means of a suspicious activity report, report suspected or known criminal violations or suspicious activities may not notify any person involved in the transaction that the transaction has been reported.

In situations involving violations requiring immediate attention, such as when a reportable violation is ongoing, the financial institution shall immediately notify, by telephone, appropriate law enforcement and financial institution supervisory authorities in addition to filing a timely suspicious activity report.

WHEN TO MAKE A REPORT:

1. All financial institutions operating in the United States, including insured banks, savings associations, savings association service corporations, credit unions, bank holding companies, nonbank subsidiaries of bank holding companies, Edge and Agreement corporations, and U.S. branches and agencies of foreign banks, are required to make this report following the discovery of:

   a. **Insider abuse involving any amount.** Whenever the financial institution detects any known or suspected Federal criminal violation, or pattern of criminal violations, committed or attempted against the financial institution or involving a transaction or transactions conducted through the financial institution, where the financial institution believes that it was either an actual or potential victim of a criminal violation, or series of criminal violations, or that the financial institution was used to facilitate a criminal transaction, and the financial institution has a substantial basis for identifying one of its directors, officers, employees, agents or other institution-affiliated parties as having committed or aided in the commission of a criminal act regardless of the amount involved in the violation.

   b. **Violations aggregating $5,000 or more where a suspect can be identified.** Whenever the financial institution detects any known or suspected Federal criminal violation, or pattern of criminal violations, committed or attempted against the financial institution or involving a transaction or transactions conducted through the financial institution and involving or aggregating $5,000 or more in funds or other assets, where the financial institution believes that it was either an actual or potential victim of a criminal violation, or series of criminal violations, or that the financial institution was used to facilitate a criminal transaction, and the financial institution has a substantial basis for identifying a possible suspect or group of suspects. If it is determined prior to filing this report that the identified suspect or group of suspects has used an "alias," then information regarding the true identity of the suspect or group of suspects, as well as alias identifiers, such as drivers' licenses or social security numbers, addresses and telephone numbers, must be reported.

   c. **Violations aggregating $25,000 or more regardless of a potential suspect.** Whenever the financial institution detects any known or suspected Federal criminal violation, or pattern of criminal violations, committed or attempted against the financial institution or involving a transaction or transactions conducted through the financial institution and involving or aggregating $25,000 or more in funds or other assets, where the financial institution believes that it was either an actual or potential victim of a criminal violation, or series of criminal violations, or that the financial institution was used to facilitate a criminal transaction, even though there is no substantial basis for identifying a possible suspect or group of suspects.

   d. **Transactions aggregating $5,000 or more that involve potential money laundering or violations of the Bank Secrecy Act.** Any transaction (which for purposes of this subsection means a deposit, withdrawal, transfer between accounts, exchange of currency, loan, extension of credit, purchase or sale of any stock, bond, certificate of deposit, or other monetary instrument or investment security, or any other payment, transfer, or delivery by, through, or to a financial institution, by whatever means effected) conducted or attempted by, at

or through the financial institution and involving or aggregating $5,000 or more in funds or other assets, if the financial institution knows, suspects, or has reason to suspect that:

i. The transaction involves funds derived from illegal activities or is intended or conducted in order to hide or disguise funds or assets derived from illegal activities (including, without limitation, the ownership, nature, source, location, or control of such funds or assets) as part of a plan to violate or evade any law or regulation or to avoid any transaction reporting requirement under Federal law;

ii. The transaction is designed to evade any regulations promulgated under the Bank Secrecy Act; or

iii. The transaction has no business or apparent lawful purpose or is not the sort in which the particular customer would normally be expected to engage, and the financial institution knows of no reasonable explanation for the transaction after examining the available facts, including the background and possible purpose of the transaction.

The Bank Secrecy Act requires all financial institutions to file currency transaction reports (CTRs) in accordance with the Department of the Treasury's implementing regulations (31 CFR Part 103). These regulations require a financial institution to file a CTR whenever a currency transaction exceeds $10,000. If a currency transaction exceeds $10,000 and is suspicious, the institution must file both a CTR (reporting the currency transaction) and a suspicious activity report (reporting the suspicious or criminal aspects of the transaction). If a currency transaction equals or is below $10,000 and is suspicious, the institution should only file a suspicious activity report.

2. **Computer Intrusion.** For purposes of this report, "computer intrusion" is defined as gaining access to a computer system of a financial institution to:

   a. Remove, steal, procure, or otherwise affect funds of the institution or the institution's customers;
   b. Remove, steal, procure or otherwise affect critical information of the institution including customer account information; or
   c. Damage, disable or otherwise affect critical systems of the institution.

   For purposes of this reporting requirement, computer intrusion does not mean attempted intrusions of websites or other non-critical information systems of the institution that provide no access to institution or customer financial or other critical information.

3. A financial institution is required to file a suspicious activity report no later than 30 calendar days after the date of initial detection of facts that may constitute a basis for filing a suspicious activity report. If no suspect was identified on the date of detection of the incident requiring the filing, a financial institution may delay filing a suspicious activity report for an additional 30 calendar days to identify a suspect. In no case shall reporting be delayed more than 60 calendar days after the date of initial detection of a reportable transaction.

4. This suspicious activity report does not need to be filed for those robberies and burglaries that are reported to local authorities, or (except for savings associations and service corporations) for lost, missing, counterfeit, or stolen securities that are reported pursuant to the requirements of 17 CFR 240.17f-1.

HOW TO MAKE A REPORT:

1. Send each completed suspicious activity report to:

Detroit Computing Center, P.O. Box 33980, Detroit, MI 48232-0980

2. For items that do not apply or for which information is not available, leave blank.
3. If you are correcting a previously filed report, check the box at the top of the report (line 1). Complete the report in its entirety and include the corrected information in the applicable boxes. Then describe the changes that are being made in Part V (Description of Suspicious Activity), line k.
4. **Do not include any supporting documentation with the suspicious activity report.** Identify and retain a copy of the suspicious activity report and all original supporting documentation or business record equivalent for five (5) years from the date of the suspicious activity report. All supporting documentation must be made available to appropriate authorities upon request.
5. If more space is needed to report additional suspects, attach copies of page 1 to provide the additional information. If more space is needed to report additional branch addresses, include this information in the narrative, Part V.
6. Financial institutions are encouraged to provide copies of suspicious activity reports to state and local authorities, where appropriate.

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CONFIDENTIAL

SUSPICIOUS ACTIVITY REPORT (SAR)

Complete as much of this form as possible. Please replicate the applicable parts for multiple activities/attempted transactions.

SEND THE COMPLETED FORM TO:
The Director
Financial Intelligence Centre
71 Robert Mugabe Ave
Windhoek
Facsimile: (061) 283 5687/5918/5922
E-mail: helpdesk@fic.na

DISCLAIMER
Reporting of suspicious activities and attempted transactions is required under Section 33 of the Financial Intelligence Act (FIA), Act No.13 of 2012, read with Regulation 20, 21 and 22 of FIA.

IMPORTANT INFORMATION
It is an offence i.t.o Section 33(4) and read with Section 46 of the Financial Intelligence Act, Act No.13 of 2012 for any person to either directly or indirectly disclose to any other person that a disclosure has been submitted to the Financial Intelligence Centre.

FOR FURTHER INFORMATION CONTACT:
FIC Helpdesk at 061 – 283 5287/5100 or via e-mail at: helpdesk@fic.na

REPORT DATE

Y	Y	Y	Y	/	M	M	/	D	D

PART A: PARTICULARS OF THE PERSON/ENTITY SUBMITTING THE REPORT

Full name Reporting Entity (If not already registered with the FIC, complete the rest of Part A)

Entity Registration number

Entity Incorporation City

Entity Incorporation Country

Operating Street Address

Nature of Business (i.e Legal Practitioner, Casino, Real Estate)

PARTICULARS OF THE COMPLIANCE OFFICER:

First Name

Last Name

Nationality

ID Number

Telephone no (with area code)

Cellphone number

Postal Address

Street Address

PART B : DESCRIPTION OF THE SUSPICIOUS ACTIVITY/ATTEMPTED TRANSACTIONS

Describe clearly and completely the facts or unusual circumstances or grounds that led to the suspicion of the attempted transaction or activity; Use additional pages if nescessary.

PART C : DESCRIPTION OF THE ACTION TAKEN

Describe clearly and completely what action was or will be taken after the suspicion was formed

PART D: REPORT INDICATORS

Select more than one if applicable:

REPORTING INDICATORS

- ☐ ACTIVITY DOES NOT MATCH CLIENT PROFILE
- ☐ ADVERSE REPORTS - INTERNATIONAL
- ☐ ADVERSE REPORTS ON COMMERCIAL DATABASES
- ☐ ADVERSE REPORTS ON LOCAL PRESS
- ☐ APPEAR ON OFAC OR OTHER LIST
- ☐ ARMS TRAFFICKING
- ☐ AUTOMATED RULES BASED ACCOUNT MONITORING
- ☐ CORRUPTION/BRIBERY
- ☐ COUNTERFEITING AND PIRACY OF PRODUCTS
- ☐ COUNTERFEITING OF CURRENCY
- ☐ DENOMINATION CONVERSION
- ☐ DRUG TRAFFICKING
- ☐ ENVIRONMENTAL CRIME
- ☐ EXTORTION
- ☐ FORGERY
- ☐ FRAUD
- ☐ FRAUD ATM
- ☐ HAWALA
- ☐ HUMAN TRAFFICKING/SMUGGLING OF MIGRANTS
- ☐ ILLICIT ARMS TRAFFICKING
- ☐ ILLICIT TRAFFICKING IN STOLEN AND OTHER GOODS
- ☐ INSIDER TRADING AND MARKET MANIPULATION
- ☐ INVOLVES INTERNATIONAL PEPS
- ☐ INVOLVES LOCAL PEPS
- ☐ KIDNAPPING, ILLEGAL RESTRAINT, HOSTAGE-TAKING
- ☐ MONEY LAUNDERING
- ☐ MURDER, GRIEVOUS BODILY INJURY (FOR PROFIT)
- ☐ PIRACY
- ☐ PROLIFERATION
- ☐ ROBBERY
- ☐ SEXUAL EXPLOITATION/PROSTITUTION
- ☐ SMUGGLING (DIAMONDS, GOLD, MINERALS, PRECIOUS & SEMI-PRECIOUS MINERALS, PROTECTED RESOURCES)
- ☐ SMURFING
- ☐ STOCK THEFT
- ☐ STRUCTURING
- ☐ TAX EVASION
- ☐ TERRORISM
- ☐ THEFT OF EXPLOSIVES
- ☐ THEFT OF FIREARMS
- ☐ OTHER: _____

PART E1: PARTICULARS OF PERSON BEING REPORTED AS A PARTY TO ACTIVITY/ATTEMPTED TRANSACTION

First Name

Last Name

Date of Birth

Y Y Y Y / M M / D D

Identification (At least one should be provided)

Nationality

ID Number | Passport | Drivers License

Occupation

Identification: Issue Country

PERSON PHONE AND ADDRESS DETAILS

Telephone no (with area code)

Cellphone number

Postal Address

Street Address

City/Town

Country

EMPLOYER INFORMATION

Name of Employer

PART E2: PARTICULARS OF ACCOUNTS INVOLVED IN ACTIVITY/ATTEMPTED TRANSACTION

Account Name/Holder

Account Number

Institution Name (where account is held)

PART E2-1 : ACCOUNT SIGNATORY INFORMATION

First Name

Last Name

Date of Birth

Y Y Y Y / M M / D D

Identification (If available)

Nationality

ID Number | Passport | Drivers License

Occupation

Identification: Issue Country

PERSON PHONE AND ADDRESS DETAILS

Telephone no (with area code)

Cellphone number

Address

City/Town

EMPLOYER INFORMATION

Name of Employer

Telephone no (with area code)

Address

PART E3: PARTICULARS OF ENTITY REPORTED AS A PARTY TO ACTIVITY/ATTEMPTED TRANSACTION

Name of Entity

Type of Business

ENTITY PHONE AND ADDRESS DETAILS

Telephone no (with area code)

Cellphone number

Postal Address

Street Address

City/Town

Country

DIRECTOR INFORMATION

First Name

Last Name

Role in Organization

☐ Accountant ☐ Auditor ☐ Beneficial Owner ☐ Company Secretary ☐ CEO ☐ Director ☐ General Attendant/Drivers

☐ Stakeholder ☐ Unknown ☐ Other

PART F: GOODS/SERVICES INVOLVED IN ACTIVITY

Destination Funds Code – Disposition of Funds – Mark with √

☐ Equipment ☐ Firearm ☐ Furniture ☐ Jewelry ☐ Land ☐ Leasehold

☐ Property ☐ Shares & Interest ☐ EFT ☐ Vehicle ☐ Other

Item Description

Delta Brac Housing Finance Corporation Ltd
Procedure for Identification, Evaluation and Reporting of Suspicious Transaction & Suspicious Activity

Reporting of suspicious transaction or reporting of suspicious activity is the final output of all AML/CFT compliance program. To mitigate or minimize the risk of the company with regards to money laundering Suspicious Transaction Report (STR) or Suspicious Activity Report (SAR) is an excellent tool. So it is necessary for the safety and soundness of the company.

Definition of STR/SAR

Where there are reasonable grounds to suspect that funds are the proceeds of predicate offence or may be linked to terrorist activity or the transactions do not seem to be usual manner, it the duty of the concern officer to submit STR/SAR which a formatted report and such report is to be submitted by the company to the competent authorities i.e. Bangladesh Financial Intelligent Unit.

Before we know the process and procedure to be followed to submit STR/SAR, we need to know the legal definition of suspicious transaction and why we need to report suspicious transaction. As per section (2) (z) of MLPA, 2012 —suspicious transaction means such transactions which deviates from usual transactions; of which there is ground to suspect that,

1) the property is the proceeds of an offence,
2) it is financing to any terrorist activity, a terrorist group or an individual terrorist;
3) which is, for the purposes of this Act, any other transaction or attempt of transaction delineated in the instructions issued by Bangladesh Bank from time to time.

In Anti Terrorism Act, 2009 (as amended in 2012), STR/SAR refers to the transaction that relates to financing for terrorism or terrorist individual or entities. One important thing is that the company needs not to establish any proof of occurrence of a predicate offence; it is a must to submit STR/SAR only on the basis of suspicion.

For the safety and soundness of DBH, STR/SAR is very crucial and every employee of the company who deals with deposit and loans should submit STR/SAR considering the followings:

- It is a legal requirement in Bangladesh;
- It helps protect the reputation of DBH ;
- It helps to protect DBH from unfounded allegations of assisting criminals, including terrorists;
- It helps the authorities to investigate money laundering, terrorist financing, and other financial crimes.

Identification and evaluation STR/SAR

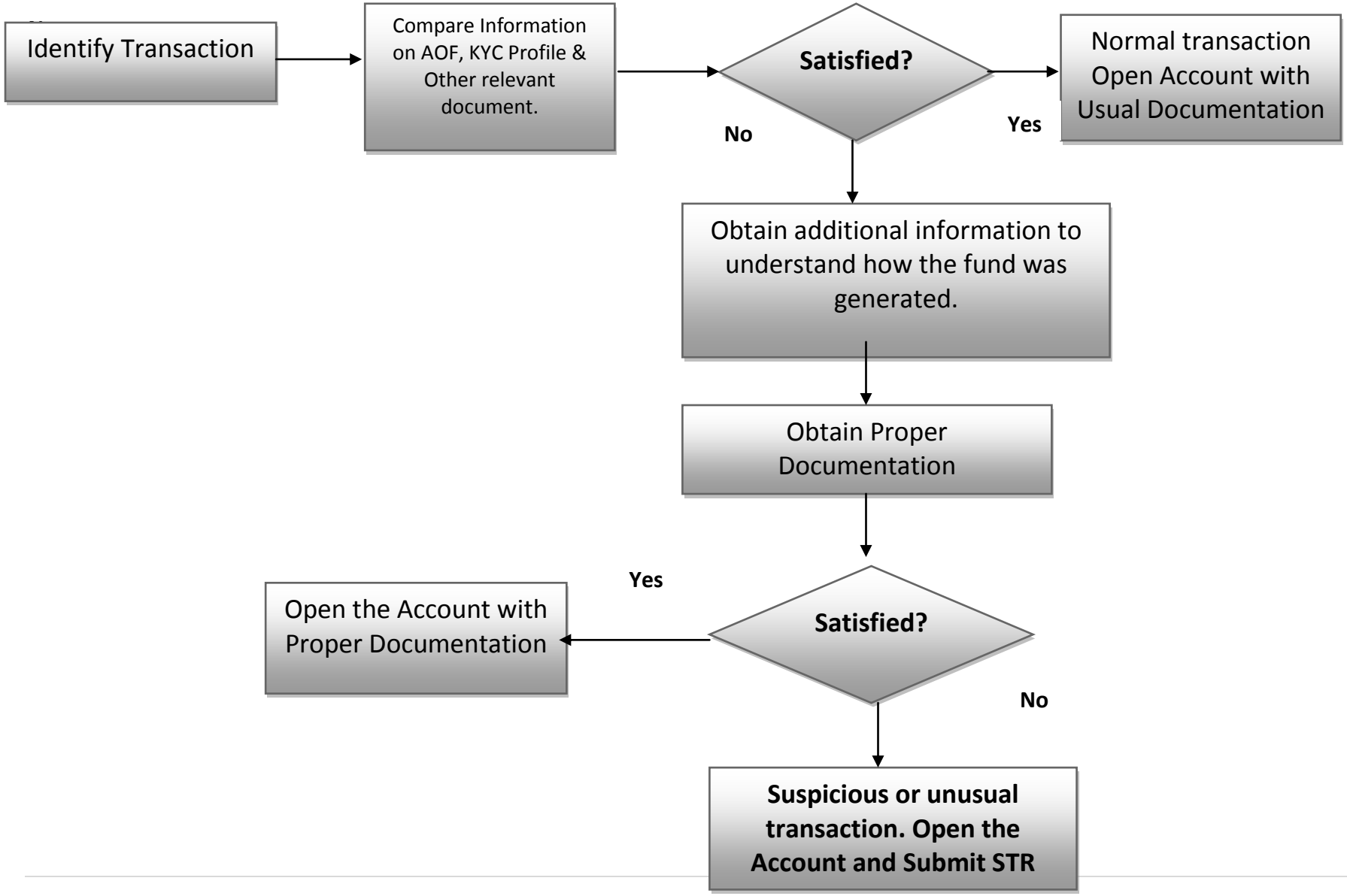
Identification of suspicious transaction/suspicious activity is very crucial for the company to mitigate the risk. Identification of suspicious transaction/suspicious depends upon the detection mechanism in place.
Process of identification of suspicious transactions /suspicious activity should be started identifying unusual transaction and activity. An unusual transaction may be unusual in terms of complexity of transaction, nature of transaction, volume of transaction, time of transaction etc. Generally the detection of unusual transactions/activities may something be sourced as follows:

- Comparing the KYC profile, if any inconsistency is found and there is no valid reasonable explanation.
- By monitoring customer transactions.
- By using red flag indicator.

Any transaction/activity is consistent with the provided information by the customer can be treated as normal and expected. When such transaction/activity is not normal and unexpected, it may treat as unusual transaction/activity.

Identification process of suspicious transaction is shown in flow chat in the next page.

Due Diligence on Transaction



It appears from above, the identification of suspicious transaction/suspicious activity may be sourced from unusual transaction or activity.

In case of reporting of STR/SAR, the following 3 stages should be conducted:

Identification:

Identification of suspicious transaction is very vital for STR/SAR reporting. Every officer who deals directly with customer should be vigilant in regards to KYC and sources of funds of the customer to identify STR/SAR.

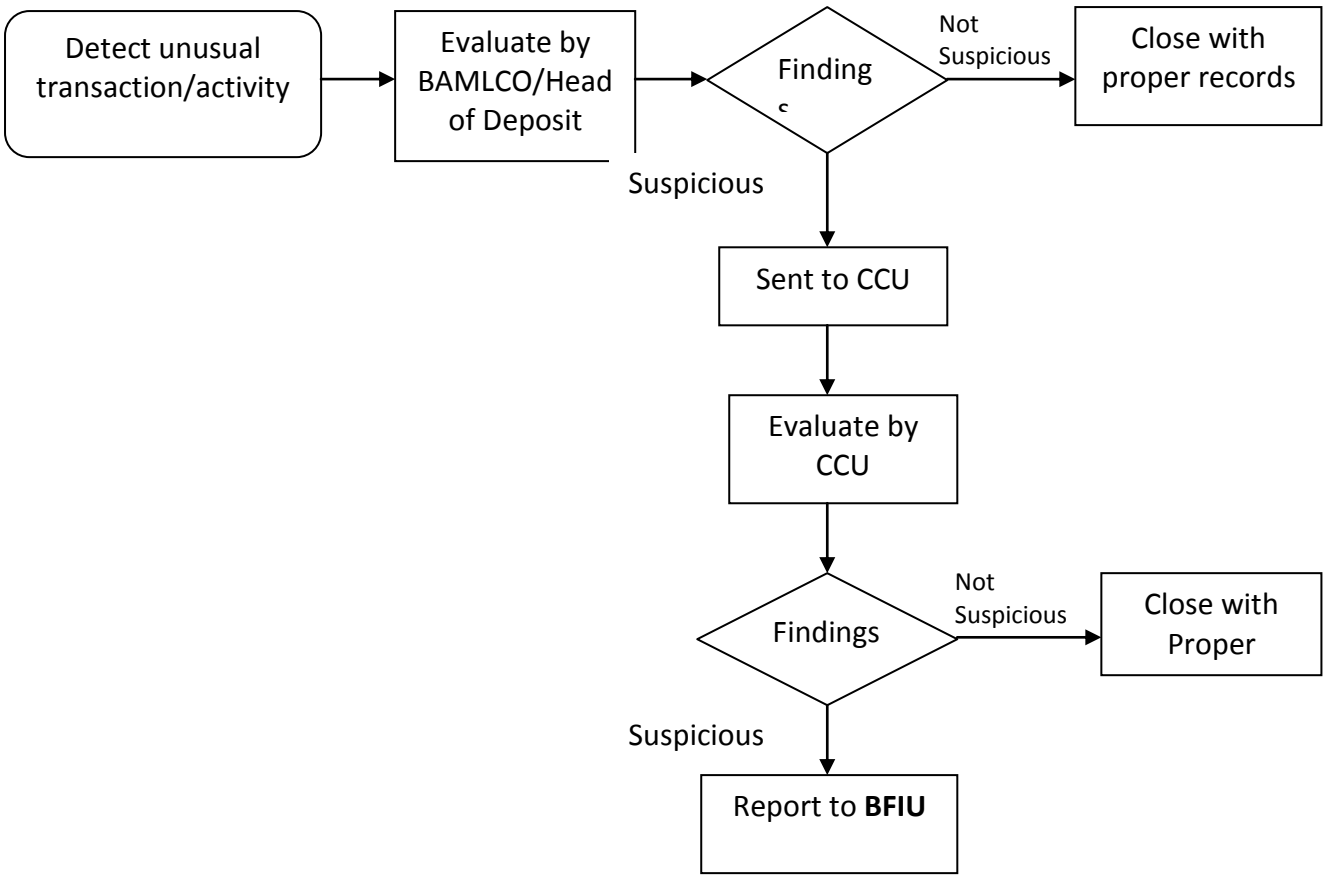
Identification of suspicious transaction lies with officers of the company who directly deals with customers at Head Office or at branches and the officer who approve/authorise the transaction. At branch level & Head office, person initiating the transaction should make sure he has taken correct and complete information of the customer as per requirement of AML/CFT law and the person authoring/approving the transaction must ensure all proper documentation has been taken and the transaction is not suspicious.

Evaluation:

Evaluation process must be in place at branch level and Central Compliance Unit (CCU). After identification of STR/SAR, at branch level BAMLCO/Branch Manager should evaluate the transaction/activity to identify suspicion by interviewing the customer, collecting additional document and information or through any other means. At Head office level, Head of Deposit will evaluate the identified STR/SAR In evaluation stage concerned BAMLCO/Branch Manager and Head of Deposit must be tactful considering the tipping off provision of the acts. If BAMLCO/Branch Manager/Head of Deposit is not satisfied, he should forward the report to CCU. After receiving report from branch CCU should also evaluate the report whether the STR/SAR report should be sent to BFIU or not. If CCU is satisfied that reported suspicious transaction/activity is valid and reportable to BFIU, CAMLCO should forward the STR to Managing Director for his approval. At every stages of evaluation (whether reported to BFIU or not) the company should keep records with proper manner.

a) Disclosure:

This is the final stage and company should submit STR/SAR to Bangladesh Financial Intelligent Unit if it is still suspicious. For simplification the flow chart given below shows STR/SAR identification and reporting procedures:



Reporting of STR/SAR

As per MLPA, 2012 and ATA, 2009 (as amended in 2012 and 2013) DBH being a Financial Institution is obligated to submit STR/SAR to Bangladesh Financial Intelligent Unit. Such report must come to the Bangladesh Financial Intelligent Unit from CCU of DBH by using specified format/instruction as per Annexure A and using GoAML.

Tipping off

Section 6 of MLPA 2012 and FATF Recommendation 21 prohibits the company, its directors, officers and employees from disclosing the fact that an STR or related information is being reported to BFIU. A risk exists that customers could be unintentionally tipped off when the company is seeking to perform its CDD obligation in those circumstances. The customer's awareness of a possible STR or investigation could compromise future effort to investigate the suspected money laundering or terrorist financing operation.

RED FLAGS or indicators of STR

Following are some of the indicators or red flags which may help officers of DBH to indentify suspicious transaction and suspicious activity.

Moving Customers

A customers who moves every month, particularly if there is nothing in that person‘s information suggesting that frequent changes in residence is normal, could be suspicious.

Out of market windfalls

If you think a customer who just appeared at your institution sounds too good to be true, you might be right. Pay attention to one whose address is far from your institution, especially if there is no special reason why you were given the business. Aren‘t there institutions closer to home that could provide the service? If the customer is a business, the distance to its operations may be an attempt to prevent you from verifying there is no business after all. Don‘t be bullied by your sales personnel who follow the "no question asked" philosophy of taking in new business.

Suspicious Customer Behavior

- Customer has an unusual or excessively nervous demeanor.
- Customer discusses your record-keeping or reporting duties with the apparent intention of avoiding them.
- Customer threatens an employee in an effort to discourage required record-keeping or reporting.
- Customer is reluctant to proceed with a transaction after being told it must be recorded.
- Customer appears to have a hidden agenda or behaves abnormally, such as turning down the chance to obtain a higher interest rate on a large account balance.
- Customer who is a public official opens account in the name of a family member who begins making large deposits not consistent with the known source of legitimate family income.
- Customer who is a student uncharacteristically transacts large sums of money.
- Agent, attorney or financial advisor acts for another person without proper documentation such as a power of attorney.

Suspicious Customer Identification Circumstances

- Customer furnishes unusual or suspicious identification documents and is unwilling to provide personal data.
- Customer is unwilling to provide personal background information when opening an account.
- Customer‘s permanent address is outside the DBHI‘s service area.
- Customer asks many questions about how the financial institution disseminates information about the identification of a customer.
- A business customer is reluctant to reveal details about the business activities or to provide financial statements or documents about a related business entity.

Suspicious Cash Transactions

- Customer opens several accounts in or more names, then makes several cash deposits under the reporting threshold.
- Customer conducts large cash transactions at different branches on the same day, or

orchestrates persons to do so in his/her behalf.
- Corporate account has deposits and withdrawals primarily in cash than cheques.

Suspicious Non-Cash Deposits

- Customer deposits large numbers of consecutively numbered pay orders or round figure amounts.
- Customer deposits cheques and/or pay orders that are not consistent with the intent of the account or nature of business.
- Funds out of the accounts are not consistent with normal business or personal items of the account holder
- Funds deposited are moved quickly out of the account via payment methods inconsistent with the established purpose of the account.

Suspicious Activity in Credit Transactions

- A customer's financial statement makes representations that do not conform to accounting principles.
- Customer suddenly pays off a large problem loan with no plausible explanation of source of funds.
- Customer purchases certificates of deposit and uses them as collateral for a loan.

Suspicious Commercial Account Activity

- Business customer presents financial statements noticeably different from those of similar businesses.
- Large business presents financial statements that are not prepared by an accountant.

Suspicious Employee Activity

- Employee exaggerates the credentials, background or financial ability and resources of a customer in written reports the company requires.
- Employee frequently is involved in unresolved exceptions or recurring exceptions on exception reports.
- Employee lives a lavish lifestyle that could not be supported by his/her salary.
- Employee frequently overrides internal controls or established approval authority or circumvents policy.

Suspicious Activity in an FI Setting

- Request of early encashment.
- A DPS (or whatever) calling for the periodic payments in large amounts.
- Lack of concern for significant tax or other penalties assessed when cancelling a deposit.

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